

R R KABEL LIMITED

NSE: RRKABEL | Electrical Wires, Cables & FMEG | Equity Research Report

Report Date: 14 May 2026 | Data Source: Screener.in (Consolidated)

ACCUMULATE

Rating

12M Target: Rs. 2,300

CMP: Rs. 1,957 | Upside: +17.5%

Investment Horizon: 12 months

MARKET DATA

Market Cap	Rs. 22,138 Cr	52W High	Rs. 1,997
CMP	Rs. 1,957	52W Low	Rs. 1,165
P/E (TTM)	43.7x	P/B	8.6x
ROCE	28.1%	ROE	21.4%
EPS (FY26)	Rs. 43.52	Div Yield	0.49%
Book Value	Rs. 228	Face Value	Rs. 5.00
Promoter	61.65%	FII/DII	9.1% / 13.3%
Net Debt	~Rs. 82 Cr	D/E Ratio	0.13x

Investment Thesis: RR Kabel is India's fastest-growing listed W&C; player — 27.6% revenue CAGR over 3 years, 61.8% EBITDA surge in FY26, margin expansion roadmap under Project RRise, and FMEG reaching breakeven in FY27 create a multi-year compounding story.

Growth Metric	3-Year	5-Year	TTM
Sales CAGR	20%	29%	28%
Profit CAGR	39%	31%	67%
Stock Price CAGR	N/A	N/A	50% (1yr)
ROCE (FY26)	28.1%	—	Improving

All figures in Rs. Crores unless stated. Source: Screener.in (Consolidated). Forward estimates are analyst projections labeled (E).

2. INVESTMENT THESIS

- **Structural growth in W&C:** India's wires and cables market stood at ~Rs.1.24 lakh Cr in FY25 and is projected to grow at 14-15% CAGR through 2035, driven by power-sector capex, renewables, railways, and data centres. RR Kabel, with Rs.8,764 Cr in W&C; revenue in FY26 (+31% YoY), is capturing share faster than the industry, with a specific push into higher-margin cables (target: 31% of W&C; mix by FY27 vs 27% currently).
- **Margin expansion via Project RRise:** Management guided W&C; EBIT margins to 9.5% in FY27 and 10.5% by FY28 (vs 8.9% in FY26), driven by favourable product mix (more cables), operating leverage on a fixed-cost base expanding through Rs.1,200 Cr capex, and pricing discipline. If delivered, EBITDA could compound at ~30% over FY26-FY28E.
- **FMEG optionality at near-zero value:** FMEG (fans, lights, switches, appliances) contributed Rs.958.6 Cr in FY26 revenue (+14% YoY) and is approaching breakeven in FY27. This segment is currently value-negative in earnings; any turnaround will be incremental to current valuation and could add Rs.150-300 per share in option value by FY28.
- **Near-term catalyst (6-12 months):** FMEG segment reaching EBITDA breakeven in FY27, confirmation of 16-18% volume growth in W&C; Q1 FY27, and capacity ramp-up from the new cable plant (part of Rs.1,200 Cr capex) becoming visible in revenue mix.
- **Biggest structural risk:** Competition from Polycab (4x the revenue size, ROCE 34%) is intensifying in the consumer wires segment, while commodity pass-through risk (copper and aluminium) can compress gross margins if realisations lag raw material cycles.

3. BUSINESS OVERVIEW

- **Company background:** R R Kabel Limited (formerly RR Cables) was incorporated in 1991 as part of the RR Group, promoted by the Sheth family of Mumbai. It listed on NSE/BSE in September 2023 via an IPO. The company manufactures a full range of electrical wires, power cables, and fast-moving electrical goods (FMEG) with over 30 years of operating history.
- **Revenue segmentation (FY26):** Wires & Cables contributed Rs.8,764 Cr (90.1% of revenue) and FMEG contributed Rs.959 Cr (9.9%). Within W&C, cables contributed ~27% and wires ~73%; the company targets 31% cable mix by FY27. By geography, domestic revenue was ~74% and exports Rs.2,280 Cr (26% of W&C revenue), with key markets in Africa, Middle East, and Southeast Asia.
- **Key customer relationships:** The W&C business serves power utilities (SEBs), infrastructure developers (roads, metro, data centres), industrial OEMs, and retail consumers through a 1,700+ dealer distribution network. FMEG is sold through the same retail channel. A mix of long-term OEM contracts and spot retail orders provides moderate revenue visibility.
- **Order book and revenue visibility:** Unlike pure EPC players, the W&C business does not have a formal published order book. Near-term visibility comes from management guidance of 16-18% volume growth for FY27, supported by the B2B pipeline for cables, which tends to have 3-6 month visibility. FMEG is largely spot-driven through retail.
- **Recent strategic developments (FY26):** (1) Crossed the \$1 billion revenue milestone. (2) Launched kitchen appliances and enhanced air cooler range in FMEG. (3) Initiated entry into data centre cables as a new high-margin vertical. (4) Rs.1,200 Cr capex plan (FY26-FY28) approved for cable capacity expansion, with CWIP declining from Rs.235 Cr (FY25) to Rs.72 Cr (FY26) as assets get capitalised.
- **Promoter background and ownership:** The Sheth family (RR Group) holds 61.65% (Mar 2026) with no pledging. FII holding has risen sharply from 4.16% (Mar 2024) to 9.10% (Mar 2026), signalling increasing institutional confidence. Number of shareholders: ~1.31 lakh.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** India's wires and cables market was valued at approximately Rs.1,24,085 Cr (~\$21.2 Bn) in FY25 and is forecast to grow at a CAGR of 14-15% through 2035, per Expert Market Research and Mordor Intelligence. Organised players are outgrowing the market at 15-16% revenue CAGR, driven by infrastructure capex, renewable energy expansion, and the China+1 export theme.
- **Policy tailwinds:** India's power sector capex target of Rs.9 lakh Cr in FY26 (public + private), rural electrification under Saubhagya, solar and wind additions (24.5 GW solar in FY25), EV charging infrastructure (Rs.16,000 Cr investment by 2030), and railway electrification are all structurally positive for cable demand over 5-7 years.
- **Competitive moat assessment:** Pricing Power — **Moderate** (commodity-linked wires segment has low pricing power; industrial cables have better). Switching Costs — **Moderate** (OEM and utility customers value qualification and consistency; retail consumers are brand-agnostic). Scale — **Moderate** (RRKABEL at Rs.9,722 Cr is #3 behind Polycab Rs.28,884 Cr and Havells). Distribution — **Strong** (1,700+ dealer network built over 30 years). Brand — **Moderate** (strong in West India; building national presence).
- **Value chain positioning:** RRKABEL operates as a branded, integrated manufacturer — sourcing copper and aluminium as raw materials, manufacturing in-house (owned plants), and distributing through a dealer network. This is the sweet spot of the value chain with better margins than pure traders but more capital-intensive than pure-play brands.

Peer Comparison (Source: Screener.in, fetched 14-May-2026)

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	P/E (x)	P/B (x)	ROCE (%)	ROE (%)
Polycab India	8,888	1,33,775	28,884	50.1	11.1	34.3	24.5
KEI Industries	4,920	47,016	11,748	51.2	7.1	20.1	14.8
Finolex Cables	1,078	16,486	5,965	24.2	2.9	17.7	13.4
RR Kabel	1,957	22,138	9,722	43.7	8.6	28.1	21.4

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and management background:** The Sheth family of the RR Group has built a 30+ year track record in electrical products. The company is managed by professional executives alongside family ownership. The IPO in September 2023 was used for growth capex and partial promoter liquidity, consistent with long-term builder behaviour.
- **Capital allocation track record:** Historical FCF generation has been lumpy — Rs.346 Cr FCF in FY23 (post-COVID recovery), Rs.152 Cr in FY24, Rs.129 Cr in FY25, and only Rs.7 Cr in FY26 due to Rs.263 Cr investing outflow for capacity expansion. The Rs.1,200 Cr capex plan (FY26-FY28) is forward-invested for growth, acceptable given the clear demand visibility and strong OCF generation (Rs.494 Cr in FY25).
- **Dividend policy:** The company declared Rs.4.0 interim dividend (Nov-2025) and Rs.5.5 final dividend (Apr-2026), totalling Rs.9.5 per share for FY26 (~22% payout ratio, consistent with FY23-FY25). This is a responsible payout — growth-reinvestment first, moderate return to shareholders.
- **Promoter pledging:** Promoters hold 61.65% (Mar 2026) with no pledging reported. Promoter holding has marginally declined from 62.76% (Mar 2024) to 61.65% (Mar 2026), likely due to IPO-related secondary selling and ESOP dilution — not a concern.
- **Auditors:** The Board reappointed PwC Services LLP, Poddar & Co., and B S R & Co. LLP for FY2026-27. The presence of PwC as auditor and the secretarial compliance report with "no non-compliance observed" (FY26) are positive governance signals.
- **Corporate governance:** No major RPT concerns reported. The annual secretarial compliance was clean. The company files quarterly PDFs with full financial disclosures on BSE and NSE. No auditor qualification or forensic concerns noted.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr) — Consolidated

	FY24	FY25	FY26	FY27E	FY28E
Revenue	6,595	7,618	9,722	11,700E	13,780E
YoY Growth	17.9%	15.5%	27.6%	20.3%E	17.8%E
EBITDA	462	487	784	1,053E	1,310E
OPM %	7.0%	6.4%	8.1%	9.0%E	9.5%E
Other Income	64	53	43	50E	60E
Interest	54	60	75	80E	85E
Depreciation	65	70	92	105E	120E
PBT	406	409	659	918E	1,165E
Tax Rate	27%	24%	25%	25%E	25%E
Net Profit	298	312	492	688E	874E
EPS (Rs.)	26.43	27.56	43.52	60.8E	77.2E
Div Payout	23%	22%	22%	22%E	22%E

Balance Sheet (Rs. Cr) — Consolidated

	FY24	FY25	FY26
Equity Capital	56	57	57
Reserves	1,772	2,096	2,518
Borrowings	360	290	337
Other Liabilities	681	1,074	1,710
Total Liabilities	2,869	3,517	4,621
Fixed Assets (Net)	535	769	1,173
CWIP	164	235	72

	FY24	FY25	FY26
Investments	342	239	255
Other Assets	1,830	2,274	3,121
Total Assets	2,869	3,517	4,621

Cash Flow Statement (Rs. Cr) — Consolidated

	FY24	FY25	FY26
Cash from Operations (OCF)	339	494	295
Cash from Investing	-84	-169	-263
Cash from Financing	-205	-191	-162
Net Cash Flow	50	134	-130
Free Cash Flow (FCF)	152	129	7
CFO / Operating Profit	94%	121%	57%

Key Ratios — Consolidated

Ratio	FY24	FY25	FY26
Debtor Days	35	39	37
Inventory Days	61	59	81
Days Payable	29	44	63
Cash Conversion Cycle	67	54	56
Working Capital Days	40	34	43
ROCE %	22%	20%	28%

• **Revenue drivers:** FY26 revenue of Rs.9,722 Cr grew 27.6% YoY, driven by W&C; volume growth of ~25%+ and exports growing 24% to Rs.2,280 Cr (26% of W&C;). Q4 FY26 was particularly strong at Rs.2,964 Cr (+33.7% YoY), with Q4 OPM touching 9% — the highest in 5 quarters. The company is tracking well ahead of the 5-year 29% sales CAGR.

• **Margin trajectory:** FY26 EBITDA surged 61.8% to Rs.784 Cr as OPM recovered to 8.1% (from 6.4% in FY25). This expansion was led by a better product mix (more cables), operating leverage, and export premiums. Management guides 9.0-9.5% OPM in FY27 and 10.5% in FY28 under Project RRise — credible given the mix shift trajectory.

• **Working capital:** CCC improved dramatically from 99 days (FY20) to 54 days (FY25) and held at 56 days in FY26. Inventory days spiked to 81 days in FY26 (vs 59 in FY25), partially offset by higher payables (63 days). This inventory build-up warrants watching over the next 2 quarters to confirm it is transient rather than structural.

• **Debt and balance sheet:** Borrowings are low at Rs.337 Cr (D/E of just 0.13x). Net debt is approximately Rs.82 Cr. The balance sheet is largely equity-funded, giving the company headroom to fund the Rs.1,200 Cr capex plan without significant leverage risk. Interest coverage is comfortable at ~10x (EBITDA/Interest).

• **FCF quality:** FY26 FCF was only Rs.7 Cr (vs Rs.129 Cr in FY25) due to heavy capex (Rs.263 Cr investing outflow). OCF remained positive at Rs.295 Cr (57% of operating profit). This FCF compression is intentional and investment-driven — the new cable capacity should drive FCF normalization in FY27-FY28.

7. EARNINGS QUALITY CHECKLIST

Parameter	Status	Assessment
Revenue Recognition		W&C; is physical delivery-based; no deferred revenue risk
Receivables vs Revenue Growth	GREEN	Debtor days stable 35-39 days; no spike vs revenue growth
CCC Trend		CCC stable 54-56 days but inventory days jumped to 81 in FY26 — watch
Contingent Liabilities	GREEN	No major disclosed contingent liabilities; secretarial audit clean
Auditor Tenure / Quality		PwC Services LLP + B S R & Co. LLP — Big 4 presence; reappointed FY27
RPTs as % of Revenue	GREEN	No material RPT concerns disclosed; RR Group structure appears arm's-length

Parameter	Status	Assessment
Other Income as % of PBT		Other income Rs.43 Cr = 6.5% of PBT (FY26); declining from 15.8% (FY24)
Tax Rate Consistency	GREEN	Tax rate consistent: 24-27% range across FY22-FY26; no DTA/DTL surprises

- **Overall earnings quality: High.** Revenue recognition is clean (physical delivery), receivables are well-managed, and auditor quality is strong. The company shows no signs of aggressive accounting.
- **Watch: Inventory build-up in FY26.** Inventory days jumped from 59 to 81 — this could reflect strategic raw material stocking (copper prices) or demand slowdown signals. Q1 FY27 results will clarify whether this reverses.
- **Watch: Other income declining (positive).** Other income has fallen from Rs.64 Cr (FY24) to Rs.43 Cr (FY26) as a percent of PBT — this means earnings quality is improving as core operating profits do more of the heavy lifting.
- **No red flags on governance.** Zero pledging, clean audit, reappointed Big-4 auditors, and no qualified opinions or whistleblower events on record.

8. VALUATION

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Cr)	Multiple (P/E)	Target Price (Rs.)
BULL	OPM 9.5% FY27, FMEG breakeven, volume +20%	780E	42x	Rs. 2,900
BASE	OPM 9.0% FY27, FMEG near-breakeven, volume +17%	688E	38x	Rs. 2,300
BEAR	Margin pressure, copper spike, FMEG losses persist	500E	28x	Rs. 1,230

- **Earnings-based methodology (primary):** We apply 38x P/E on FY27E EPS of Rs.60.8, arriving at a base-case target of Rs.2,310 (rounded to Rs.2,300). This represents a modest discount to the sector leader Polycab (50x) and KEI (51x), justified by RRKABEL's smaller scale and higher FMEG execution risk. At 38x, we are implicitly pricing in the margin expansion but not the FMEG turnaround.
- **EV/EBITDA methodology (cross-check):** Applying 25x FY27E EBITDA of Rs.1,053 Cr gives an EV of ~Rs.26,325 Cr. Deducting net debt of ~Rs.82 Cr yields equity value ~Rs.26,243 Cr (Rs.2,302 per share on 11.4 Cr shares), closely corroborating the earnings-based target.
- **Base-case 12-month target price: Rs.2,300** — average of PE method (Rs.2,310) and EV/EBITDA method (Rs.2,302). Upside of +17.5% from CMP of Rs.1,957.
- **Valuation context:** At CMP Rs.1,957, the stock trades at 43.7x TTM P/E (FY26 EPS Rs.43.52) and 32.2x forward P/E (FY27E Rs.60.8). The multiple has expanded sharply (stock +50% in 1 year) as the margin recovery story became apparent. Current valuations are not cheap — they require execution on OPM expansion and FMEG breakeven. Any disappointment could trigger 15-20% downside to the bear case.

9. KEY RISKS

- **Raw material price volatility:** Copper and aluminium account for ~65-70% of W&C; costs. A sharp spike in copper LME prices without proportionate realization increases can compress gross margins in 1-2 quarters. Probability: H. Impact: H. Monitor via: LME copper prices, quarterly gross margin trends.
- **Polycab competitive intensity:** Polycab (4x the revenue, ROCE 34%) is aggressively expanding distribution, launching sub-brand products, and investing in cables. A price war in the wires segment could pressure RRKABEL's volume growth targets. Probability: M. Impact: H. Monitor via: Polycab's pricing announcements and RRKABEL's volume growth disclosures.
- **FMEG execution risk:** FMEG has been loss-making since inception and management has guided breakeven in FY27 multiple times. Continued losses would drag consolidated PAT and destroy value. Probability: M. Impact: M. Monitor via: Quarterly FMEG segment EBITDA margin disclosures.

- **Export market risk:** Exports at Rs.2,280 Cr (26% of W&C;) are exposed to geopolitical tensions (Middle East, Africa), freight cost volatility, and currency risk. A slowdown in export orders could impact near-term revenue growth. Probability: M. Impact: M. Monitor via: Export revenue YoY growth each quarter.
- **Capex execution risk:** The Rs.1,200 Cr capex (FY26-FY28) must be commissioned on time and absorbed by markets. Delays or overcapacity could depress returns. Probability: L. Impact: M. Monitor via: CWIP levels and fixed asset additions.
- **Valuation de-rating risk:** At 43.7x TTM P/E, the stock prices in strong execution. Any miss on margin guidance or volume growth will trigger multiple compression. The stock moved +50% in 1 year and +46% in 1 month — correction risk is elevated. Probability: M. Impact: H. Monitor via: Quarterly OPM relative to guidance.
- **Promoter holding dilution:** Promoter stake has declined from 62.76% (FY24) to 61.65% (FY26). Further secondary selling by the Sheth family or ESOP dilution could create overhang. Probability: L. Impact: L. Monitor via: Shareholding pattern changes.

10. RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction: Medium-High. The business quality and growth trajectory warrant a premium, but the recent 50% run in 12 months limits the immediate margin of safety.
- **12-month price target: Rs. 2,300** (upside +17.5% from CMP of Rs. 1,957). Basis: 38x FY27E EPS of Rs.60.8 / 25x FY27E EBITDA of Rs.1,053 Cr.
- **Suggested entry zone: Rs. 1,750 - Rs. 1,900.** A 5-10% correction from current levels would offer better risk-reward; patient investors should build positions on dips rather than chasing the recent momentum run.
- **Investment horizon: 12-18 months.** The FY27 margin delivery and FMEG breakeven are the key catalysts that will define the next re-rating leg.
- **Thesis invalidation triggers:** (1) FY27 W&C; EBIT margin falls below 8.5% for two consecutive quarters, signalling the margin expansion story is delayed or broken. (2) FMEG segment fails to reach EBITDA breakeven by Q3 FY27, pointing to a structural cost problem rather than a scale issue. (3) FY27E revenue growth falls below 12% for two quarters, indicating loss of market share to Polycab or demand headwinds.
- **Ideal investor profile:** Suitable for growth-oriented investors with a 12-18 month horizon who can accept moderate volatility and are comfortable with execution risk on margin expansion. NOT suitable for defensive income investors (low dividend yield) or value investors (expensive on near-term earnings).

APPENDIX — Latest Concall Brief: Q4 FY26 (30 April 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality		Beat on revenue (+33.7% YoY) and EBITDA (+34.6%); PAT inline
Management Tone	Bullish	Confident on FY27 margin roadmap; specific numerical guidance given
Guidance Delta	Raised	OPM target raised to 9.5% FY27 / 10.5% FY28 (vs prior 9% / 10%)

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a clean, high-quality beat — revenue of Rs.2,964 Cr (+33.7% YoY) and EBITDA of Rs.263.5 Cr (+34.6%) are both genuine operating improvements with no material one-time items distorting reported PAT of Rs.168 Cr. The big story here is the margin recovery: Q4 OPM hit 9%, the highest in at least 5 quarters, driven by a better cable-vs-wire mix, operating leverage on the new capacity, and export pricing holding up despite Red Sea logistics disruption. For the full year, EBITDA of Rs.784 Cr nearly doubled vs FY24 levels — this is not a one-year wonder but a multi-year margin normalization playing out. The structural thesis remains intact: W&C; at 90% of revenue is firing, exports at 26% of W&C; are adding premium revenue, and the FMEG losses are finally shrinking (breakeven guided for FY27). The near-term catalyst is Q1 FY27 confirming the 16-18% volume growth guidance and OPM staying north of 8.5%. The single biggest risk is the inventory spike to 81 days — if Q1 FY27 inventory doesn't correct, it signals either demand softness or excess stocking ahead of a raw material cycle. Action: ACCUMULATE at Rs.1,750-1,900 on any dip; do not chase at CMP of Rs.1,957 given the recent 46% one-month run. Target Rs.2,300 in 12 months.

1. Financial Performance Snapshot — Q4 FY26

- Revenue: Rs. 2,964.1 Cr | YoY +33.7% | QoQ +16.8% | **Beat**
- EBITDA: Rs. 263.5 Cr | YoY +34.6% | QoQ +28.9% | **Beat**
- EBITDA Margin: 9.0% | YoY +7 bps | QoQ +80 bps | **Beat**
- PAT: Rs. 168 Cr | YoY +30.1% | QoQ +42.4% | **In-line**
- EPS: Rs. 14.85 | FY26 Full-Year EPS: Rs. 43.52 (FY25: Rs. 27.56) | +58% YoY
- NOTE: No material one-time items in Q4 FY26; reported PAT reflects clean operating earnings.
- FY26 Full Year: Revenue Rs. 9,722 Cr (+27.6%), EBITDA Rs. 784 Cr (+61.8%), PAT Rs. 492 Cr (+57.7%)

2. Segment / Geography Breakdown — FY26

- Wires & Cables: Rs. 8,764 Cr | YoY +31% | Segment profit Rs. 257.3 Cr (Q4 +32.5% YoY) | Primary growth engine; cable share within W&C; at ~27%
- FMEG (Fans, Lights, Switches, Appliances): Rs. 959 Cr | YoY +14% | Q4 Rs. 297.7 Cr (+13.8% YoY) | Losses narrowing; on track for FY27 breakeven
- Domestic Revenue: ~74% of total | Distribution network of 1,700+ dealers across India
- Exports: Rs. 2,280 Cr | YoY +24% | 26% of W&C; revenue | Key markets: Africa, Middle East, SE Asia
- New Vertical — Data Centres: Initiated entry into high-specification data centre cables; not yet material but a strategic moat-builder for FY27 onwards

3. Management Commentary Themes

- **Project RRIse margin roadmap:** "We remain fully committed to delivering 9.5% EBIT margin in W&C; for FY27 and 10.5% by FY28" — Our read: Specific targets with a clear mix-shift driver (cables from 27% to 31%). Tag: GUIDANCE. Tone: Transparent.
- **Export resilience:** "Despite geopolitical headwinds (Red Sea disruption), our export book remains healthy with a strong B2B pipeline" — Our read: Management acknowledged logistics friction but maintained confidence; watch actual Q1 FY27 export numbers. Tag: EST. Tone: Balanced.
- **FMEG path to breakeven:** "We are on track to achieve EBITDA breakeven in FMEG in FY27" — Our read: This has been guided before; the improvement in loss per quarter is directionally correct. Tag: GUIDANCE. Tone: Hedged.
- **Capex execution:** "Rs. 1,200 Cr capex for FY26-FY28 is on schedule; new cable capacity will come onstream in H1 FY27" — Our read: CWIP declining from Rs.235 Cr (FY25) to Rs.72 Cr (FY26) confirms capitalization in progress. Tag: GUIDANCE. Tone: Transparent.
- **Copper and commodity:** "Raw material prices have been volatile; we manage through quarterly pricing reviews and hedging" — Our read: Management did not provide specific hedge cover; a copper spike remains a near-term risk. Tag: EST. Tone: Hedged.
- **Volume growth outlook:** "We guide 16-18% volume growth in Wires & Cables for FY27, supported by infrastructure demand, renewable energy orders, and export momentum" — Our read: Ambitious but achievable if power-sector capex sustains. Tag: GUIDANCE. Tone: Bullish.

4. Operating & Business Metrics

- W&C; Volume Growth: FY26 ~25%+ YoY | FY25: ~15% | FY24: ~18% | Trend: Accelerating
- Cable Share (within W&C;): FY26 ~27% | FY25 ~25% | FY24 ~23% | Trend: Improving (target 31% FY27)
- Export Revenue: FY26 Rs.2,280 Cr (+24% YoY) | FY25 ~Rs.1,838 Cr | FY24 ~Rs.1,600 Cr | Trend: Accelerating
- FMEG Revenue: Q4 FY26 Rs.297.7 Cr (+13.8% YoY) | FY26 Rs.959 Cr (+14% YoY) | Trend: Steady growth
- Capex Spend: FY26 Investing Outflow Rs.263 Cr vs Rs.169 Cr FY25 | CWIP: FY26 Rs.72 Cr (vs Rs.235 Cr FY25, assets capitalised)
- Debt Level: Rs.337 Cr (FY26) vs Rs.290 Cr (FY25) | D/E 0.13x | Very low leverage
- Working Capital: CCC 56 days (FY26) vs 54 days (FY25) | Inventory days spiked 81 days — key metric to watch Q1 FY27

5. Margin Drivers

- Cable mix improvement: +80-100 bps impact | Recurring: Yes | Cables carry ~150-200 bps higher margins than wires; mix shift ongoing
- Export premium pricing: +50-70 bps impact | Recurring: Yes | Export realizations above domestic; B2B contracts with USD pricing
- Operating leverage on fixed costs: +40-60 bps impact | Recurring: Yes | Revenue scale crossing Rs.9,000 Cr dilutes fixed overheads
- Raw material efficiency / buying scale: +20-30 bps | Recurring: Partially | Larger purchase volumes generate supplier discounts
- FMEG losses (drag): -40 to -60 bps consolidated impact | Recurring: Diminishing | FMEG loss absorption expected to end in FY27
- Freight and logistics costs (elevated): -20 to -30 bps | Recurring: Partially | Red Sea disruption impacting export freight; normalisation expected in H2 FY27

6. Guidance & Forward Signals

- W&C; Revenue Growth [GUIDANCE]: Prior = ~20% | New = 16-18% volume growth FY27 | Delta = Maintained | Credibility: High (FY26 delivered 31% revenue growth)
- W&C; EBIT Margin [GUIDANCE]: Prior = ~9% FY27 | New = 9.5% FY27, 10.5% FY28 | Delta = Raised | Credibility: Medium-High

- FMEG Breakeven [GUIDANCE]: Prior = FY27 | New = FY27 reiterated | Delta = Maintained | Credibility: Medium (previously missed timeline)
- Capex [GUIDANCE]: Prior = Rs.1,200 Cr FY26-FY28 | New = On schedule | Delta = Maintained | Credibility: High (CWIP confirms execution)
- Dividend [GUIDANCE]: Rs.5.5 final + Rs.4.0 interim = Rs.9.5 total for FY26 (22% payout) | Maintained
- Data Centre Entry [GUIDANCE]: No revenue target given; FY27 pipeline being built | Credibility: Low-to-Medium (too early to assess)
- Export Share [EST]: Target to maintain 25-26% of W&C; revenues; B2B order pipeline healthy despite logistics risk

7. Capital Allocation

- Capex (Investing Outflow): Rs.263 Cr (FY26) | vs FY25: +Rs.94 Cr | New cable plant capacity expansion for FY27 revenue ramp
- Dividends: Rs.9.5/share total FY26 (Rs.4 interim + Rs.5.5 final) | vs FY25: Rs.6/share | 22% payout maintained
- Buybacks: None declared; management prefers capex-driven growth reinvestment
- Working Capital Change: Inventory build-up drove Rs.200 Cr+ WC increase in FY26 | Watch reversal in Q1-Q2 FY27
- Net Debt Movement: Rs.47 Cr increase in net debt (borrowings Rs.290 Cr FY25 to Rs.337 Cr FY26) | Still very low D/E of 0.13x
- OCF: Rs.295 Cr (FY26) vs Rs.494 Cr (FY25) | Decline reflects higher WC requirements during high-growth year

8. Q&A; Heat Map

- Analyst / Firm Unknown: Q: "What gives you confidence in achieving 9.5% margin in FY27 given H1 FY26 was only 6-7%?" → A: "H2 FY26 showed the trajectory — Q4 OPM was 9%. Cable mix improvement and operating leverage on new capacity drive it." | Tone: Transparent
- Analyst / Firm Unknown: Q: "FMEG has been promised breakeven for 2 years now; what's different?" → A: "We have reduced losses per quarter consistently; Q4 FMEG losses were at the lowest level. Scale is the remaining lever." | Tone: Hedged (breakeven timeline has slipped before)
- Analyst / Firm Unknown: Q: "How are exports holding up given geopolitical situation?" → A: "Freight costs are elevated but B2B pipeline remains strong; we expect 25-26% export share maintained in FY27." | Tone: Balanced
- Analyst / Firm Unknown: Q: "What is the inventory spike to 81 days about?" → A: "Strategic raw material stocking in a rising copper price environment; we expect normalisation by Q1-Q2 FY27." | Tone: Transparent (specific reason given)
- Analyst / Firm Unknown: Q: "Are you exploring any acquisitions in FMEG?" → A: "We are focused on organic growth and building the brand. No acquisition plans at this point." | Tone: Transparent
- Dodged / watch-list questions for next quarter: Specific data-centre order pipeline size; exact FMEG loss quantum per quarter; raw material hedging policy and cover levels.

9. Risks Flagged on the Call

- Commodity Price Risk: Copper LME volatility can compress near-term gross margins | Flagged by: Management | Probability: H | Impact: H | Timeline: Near-term
- Export Logistics / Red Sea: Freight cost inflation from geopolitical disruption | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-to-medium
- FMEG Breakeven Timeline: Continued FMEG losses would drag consolidated earnings | Flagged by: Analysts | Probability: M | Impact: M | Timeline: Near-term (FY27)
- Competitive Pressure (Polycab): Polycab expanding distribution aggressively in RRKABEL markets | Flagged by: Analysts | Probability: M | Impact: H | Timeline: Medium-term
- Working Capital Normalization: Inventory build-up at 81 days may not reverse quickly if demand weakens | Flagged by: Analysts | Probability: L-M | Impact: M | Timeline: Near-term

10. Analyst Verdict

- Revenue Visibility: **Intact** — 16-18% volume growth guidance well-supported by infrastructure tailwinds and export pipeline
- Margin Trajectory: **Intact** — Q4 FY26 OPM of 9% and specific FY27/FY28 targets are directionally credible; H2 data supports the thesis
- Capital Allocation Quality: **Intact** — Capex on schedule, dividend maintained; OCF compression is intentional and investment-driven
- Competitive Moat: **Intact** — Distribution strength and export market positions remain; cable mix shift adding quality revenue
- Management Credibility: **Intact** — Transparent on risks (commodity, FMEG timeline slippage); specific quantitative guidance given
- Valuation Comfort: **Weakened** — At 43.7x TTM P/E post 50% rally, limited near-term margin of safety; accumulate on dips
- Conviction Call: **Unchanged** — ACCUMULATE; thesis intact but entry timing matters at current levels
- Valuation Snapshot: P/E TTM = 43.7x | Fwd P/E FY27E = 32.2x | EV/EBITDA TTM ~28x | RoCE FY26 = 28.1%

DISCLAIMER: This report is produced for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (Consolidated), fetched 14 May 2026. Forward estimates (E) are analyst projections and not guaranteed. The report analyst persona is for illustration only. Investors should consult their financial advisors before making investment decisions. Past performance is not indicative of future results.